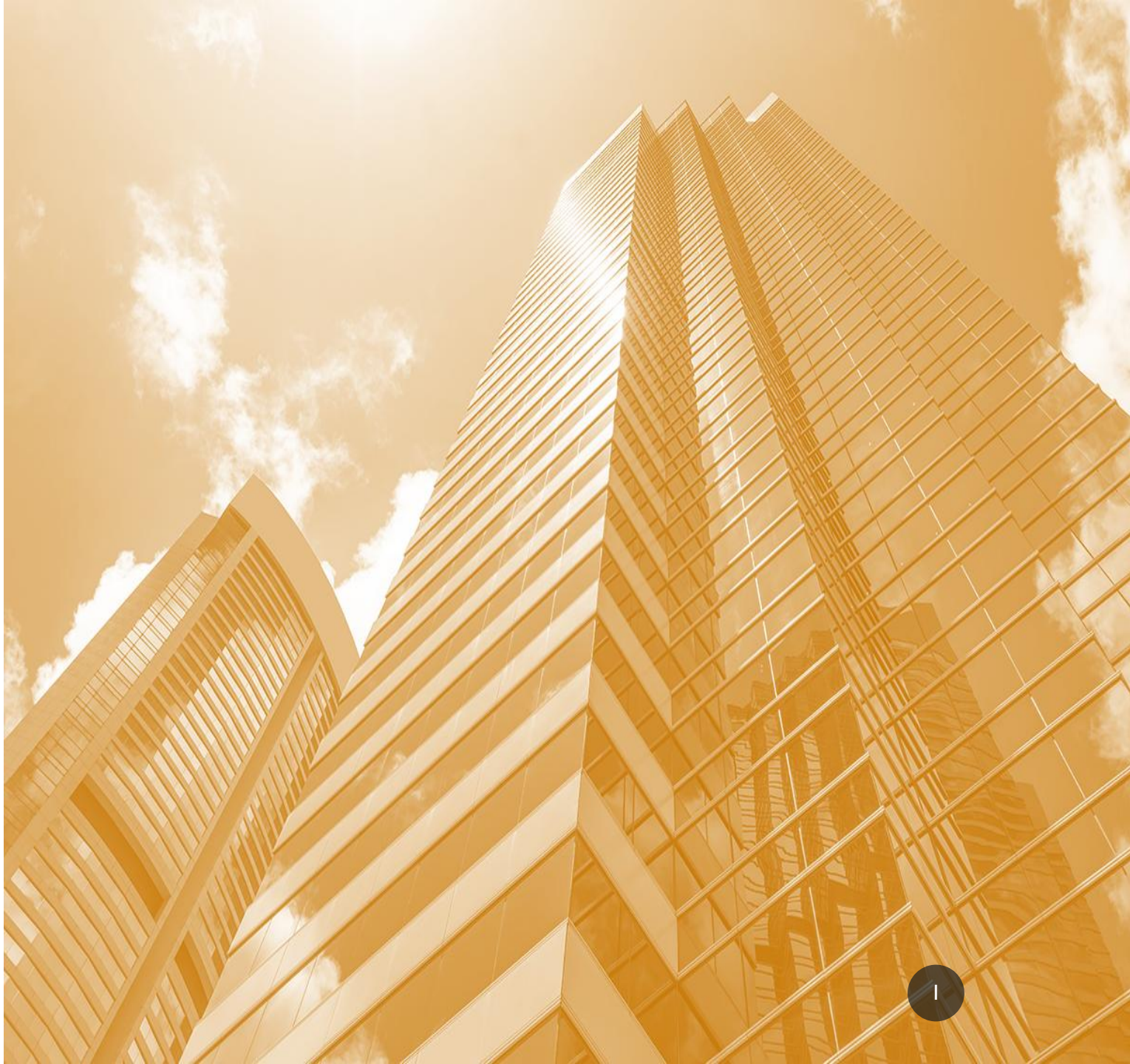
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Dangote Petroleum Refinery & Petrochemicals IPO

The People's IPO

Prepared by AXYS Research Team



IPO’s key details

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IPO's key details

The people's IPO and why now:

Dangote Petroleum Refinery and Petrochemicals ("DPRP") officially opened last week on 14th September 2026 and will run through to 13th October 2026. In this IPO, DPRP is offering 4.1 Bn ordinary shares at an offer price of USD 0.385/Naira 525.00, targeting to raise USD 1.58 Bn, as the company seeks to scale its processing capacity from 700,000 barrels per day to 1,400,000 barrels per day.

IPO's key details

ITEM	DETAIL
Issuer	Dangote Petroleum Refinery & Petrochemicals FZE (OGFZA registration FZ/0/08/00004)
Offer	Offer for Subscription of 4,100,000,000 Ordinary Shares of US$0.000013 each
Offer price	₦ 525.00 per share (US$0.385 at ₦ 1,364/US$1 as at 5 August 2026)
Mode	Fixed price; payable in full on application; not underwritten
Application list	Opens 14 September 2026; closes 13 October 2026
Gross proceeds	₦2,152,500,000,000 (~US$1.58bn)
Offer costs	₦41,492,782,688.91 (1.93% of gross proceeds)
Net proceeds	₦2,111,007,217,311 (~US$1.55bn)
Existing shares	120,128,915,901 in issue at the date of the Prospectus
Post-offer shares	124,228,915,901
Free float from Offer	3.30% of post-offer share capital
Market cap pre-listing	₦63.07tn (~US$46.2bn)
Market cap at listing	₦65.22tn (~US$47.8bn)
Listing	NGX Main Board; application made for admission of all 124.23bn shares
Minimum subscription	10 Offer Shares, and multiples of 10 thereafter
Oversubscription	Issuer may absorb up to 30% of the Offer, subject to SEC approva
Settlement	CSCS accounts credited within 15 business days of Allotment Date
Lead Issuing House	Vetiva Advisory Services Limited (25 joint issuing houses including Stanbic IBTC Capital, FirstCap, Chapel Hill Denham, Absa, Afrinvest, Coronation, Rand Merchant Bank)

Overview of DPRP

- Registered as a Free Zone enterprise in the Dangote Industries Free Zone, Lagos, in January 2016; regulated by the OGFZA since January 2026
- Occupies roughly 6,500 acres between the Lekki Lagoon and the Atlantic Ocean
- Commissioned May 2023; commercially operational from January 2024; reached its rerated nameplate capacity of 700,000 bpd in June 2026
- Built at a cost of over US$19–20 billion; one of the largest private infrastructure investments in Africa
- Free Zone status brings duty-free equipment imports, FX flexibility, and certain fiscal incentives

Overview of DPRP -Business

- DPRP's core business can be summarized as importing and processing raw crude oil to produce high-quality products, typically classified as a **downstream oil business.**

- This business has turned Nigeria, which for a long time had adequate crude oil to export and later imported refined oil, into a self-sufficient exporter of refined petroleum. Key products by DPRP include: i) Transport fuels (Premium Motor Spirit (petrol/gasoline), Automotive Gas Oil (diesel), and Aviation Turbine Kerosene (jet fuel)); ii) Petrochemicals (Polypropylene and polyethylene), and iii) By-products such as Liquefied Petroleum Gas (cooking gas) and sulfur.

- The Refinery became commercially operational in January 2024 and completed performance testing to achieve its nameplate capacity of 650,000 bpd in February 2026. Its operations transitioned to stable, full-capacity production across all its processing units in March 2026. Following further operational optimisation, the Refinery achieved performance testing rates of up to 700,000 bpd in June 2026.

- The full-capacity production can be traced in its latest financials; in the half-year alone of FY'26 the company's revenue reached USD 13.91 Bn, already surpassing FY'2025 levels of USD 12.33 Bn, and effectively registering profitability in the half-year results following two consecutive years of losses. Although we are aware that DPRP benefitted from: i) higher refining margins and ii) disruption caused by the Middle East conflict, which helped Nigeria to position itself as a key net exporter of finished oil.

Overview of DPRP - Business

- Notably, Dangote plans to expand its refining capacity to approximately 1.4 Mn bpd by 2029 through the addition of a second CDU and associated processing units, and to expand its polypropylene production capacity to 2.4 Mn tpa by 2030, in each case subject to the receipt of requisite regulatory approvals, the availability of financing, and the timely execution of construction and commissioning activities.

Use of Proceeds: Funding the Next Phase

- Net proceeds are earmarked entirely for growth capital expenditure: not debt repayment or shareholder cash-out
- Proceeds fund a portion of DPRP's refinery expansion programme, targeted for completion by 2030
- The programme adds a second processing train (Train 2), roughly doubling refining capacity toward 1.4 million barrels per day
- It also expands petrochemical (polypropylene) production capacity
- Proceeds are split roughly: ~32% process units & equipment, ~40% utilities & infrastructure, ~28% construction & installation
- The balance of the multi-billion-dollar programme is funded through internally generated cash flow, debt and project financing over time

Shareholding structure

- Shareholding structure
- Dangote Oil Refining Company Limited - 65.83%
- Dangote Industries Limited - 14.90%
- Nigerian National Petroleum Company Ltd (NNPC) - 6.82%
- Greenview International Corporation - 6.50%
- Other minority shareholders - 5.95%
- Leadership
- Aliko Dangote - Founder & Group President/CE; David Bird , MD/CEO; Bruce Tanner, CFO; Sanjaya Bhatnagar - COO
- NNPC's equity stake gives DPRP a built-in industry and policy partnership
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Operating Model

- No upstream oil production; DPRP buys crude on the market and sells refined products and petrochemicals; profitability rests on the refining margin, not on owning oilfields
- Integrated refining and petrochemicals: naphtha, LPG, and propylene generated in refining feed a polypropylene plant, capturing more value per barrel
- High processing complexity (Nelson Complexity Index of 11.5, versus an emerging-market average of 8.9) converts lower-value crude into higher-value fuels
- Owns its own logistics: ~1,100 km of pipelines, deep-water moorings for very large crude carriers, ~4.7 billion litres of storage, a captive 570MW power plant, and a truck-loading gantry system

Operating Model

- Crude is sourced in three ways: 35–40% under a Naira-for-crude arrangement with NNPC, 25% from the Nigerian spot market, and the balance from international imports
- Nigerian light sweet grades (Bonny Light, Forcados, Escravos) anchor the crude slate, complemented by US, Angolan, and Brazilian crudes
- Products are priced off international benchmarks (Brent-linked, import-parity for domestic sales); this keeps revenue tied to global markets rather than purely local pricing
- Feedstock made up roughly 94.5% of cost of sales in H1 2026; margin performance is driven by *crack spreads*, not the absolute crude price
- Refining margins have widened as the plant has ramped toward full capacity and its product mix has shifted toward higher-value fuels

Products and Markets

- Core output: PMS/petrol (~40%), AGO/diesel (21%), and ATF/jet fuel (~21%), plus LPG, naphtha, and polypropylene
- Supplies the large majority of Nigeria's domestic PMS market, around 88% of total PMS supply, including imports, as of mid-2026
- Domestic sales have overtaken exports, roughly 56% domestic versus 44% export by H1 2026, as import substitution deepens
- Exports reach West and Southern Africa, plus markets as far as the US, Brazil, Europe and Asia
- Produces ultra-low-sulphur fuel (under 10ppm); well inside Nigeria's 50ppm standard and far cleaner than typical imported fuel

Compelling Business Case

- **Demand is present –** The local market provides strong demand for refined oil products. Beyond the domestic market, the broader African region also offers an opportunity for DPRP, as the continent has historically remained a net importer of refined oil products. Notably, there is also a clear opportunity to export beyond the African market. Africa is expected to sustain demand for oil products in the foreseeable future, providing DPRP with a ready market. In addition to the demand upside, DPRP operates in an oil-producing market, which provides a consistent domestic supply of crude oil, giving the refinery an inherent advantage.
- **Lower effective tax rate –** Despite the effective tax rate increasing to 15.0% from 13.6% following the renewal of the Minimum Effective Tax Rate, the rate remains supportive of the bottom line. We note that management is actively seeking a full tax exemption. If successful, this should provide further support to the company's profitability.
- **High efficiency –** DPRP has a Nelson Complexity Index (NCI) of 11.5. (The NCI is a scoring system that ranks oil refineries based on their ability to process crude oil into refined, higher-value products.) DPRP's NCI enables it to convert approximately 92.0% of every barrel into clean fuels, representing one of the highest conversion rates in the industry. This supports higher margins relative to peers and should be viewed as a long-term earnings catalyst.

Compelling Business Case

Earnings turnaround – Earnings have turned around following two consecutive years of losses as the refinery transitioned towards full-capacity production. During the first half of the year, revenues surpassed the full-year performance recorded last year, consequently moving the company into a profitable position. Profitability should become even more visible as DPRP progresses towards its planned USD 12.40 Bn expansion, which is expected to increase refining capacity to 1.4 Mn bpd from 0.7 Mn bpd. A key advantage of the expansion is that it eliminates the risk of relying on a single train. With DPRP having an operational blueprint from the current site, execution risk should also be reduced. The expansion is expected to deliver additional benefits, including lower fixed costs.

Enhanced shareholders' returns from dividends – Going by the prospectus, DPRP intends to adopt a dividend policy that distributes earnings to shareholders while striking a balance between shareholder returns, capital expenditure and its long-term growth strategy. We note that, since the company will be reporting in USD, dividends are likely to be declared in USD.

Risks

Concentration at a Single Site - Most of DPRP's production is concentrated at a single site, which poses a concentration risk. DPRP noted that having production, storage and logistics infrastructure in a single geographic location exposes the Issuer to significant risks of material disruption in the event of natural disasters, including flooding given the coastal location of the facility, fires, explosions, equipment failures, industrial accidents, acts of terrorism, sabotage, civil unrest or other unforeseen events.

Disruption of Crude Oil Supply - DPRP is exposed to the risk of disruptions in crude oil supply. Any interruption, delay or reduction in the availability of crude oil could adversely affect the Issuer's ability to operate the Refinery efficiently, as the Refinery depends on a continuous and reliable supply of crude oil to maintain steady production. Notably, DPRP reported that in 2025, it sourced approximately 60.0% of its crude oil from Nigerian grades.

Volatility in International Crude Oil and Refined Product Prices - DPRP is exposed to volatility in international crude oil and refined product prices, which are largely beyond its control and can materially affect the company's financial performance. Combined with potential disruptions in crude oil supply, any delays or interruptions could further affect the operational efficiency of the Refinery.

Participation

- We have partnered with a leading Broker in Nigeria
- Clients need to fill in an application form capturing their KYC
- The minimum investment amount is USD 2000.00
- 2.0% processing fee (FX movements and funds transfer)
- For our clients, the application should be done by 7th October to give leeway to consolidate funds and send to Nigeria
- Both Kenya and USD deposits are allowed, though we encourage dollar deposits


THANK YOU ☺